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Module 2: Serving the Customer throughout the Policy Lifecycle

A customer's contact with an insurer most likely begins when they are thinking about purchasing a policy, and can last until the policyowner dies and the insurer pays the policy proceeds to the beneficiary. In between, the insurer underwrites and issues the policy, and meets the customer's service needs while the policy is in force. In this module, you'll learn about the tasks an insurer performs at each stage of the policy lifecycle.

In this module, you'll learn about

- How insurers engage with potential customers and distribute products to meet customer needs
- How insurers process insurance applications, evaluate the risk they represent, and determine the appropriate premium to charge
- How insurers try to optimize the experience of their customers
- How insurers balance paying legitimate claims promptly and accurately with avoiding paying illegitimate claims

Lesson 1: Product Distribution

Like any business, insurers must make their products available for customers to buy. But insurance products are different from consumer products, such as food or clothing. Learn about these differences and how insurers engage with customers to teach them about products and try to win their business.

Learning Objectives

- Describe the various engagement methods insurers and financial professionals can use.
- Distinguish between direct distribution systems and intermediary distribution systems.

- Describe the characteristics of a direct sales force and direct-to-consumer (D2C) distribution in insurance.
- Explain how insurers provide sales support such as recruiting, licensing, compensation, and training to different types of agents.
- List three prohibited sales practices, and describe the activities that insurers undertake to monitor the market conduct of their agents.
- Discuss the different intermediaries through which some insurers distribute their products.
- Identify and describe the factors an insurer considers when making decisions about which distribution systems to use.
- Identify types of distribution problems and solutions.

Engagement Methods

Learning Objective

Describe the various engagement methods insurers and financial professionals can use.

Financial products don't reach the marketplace the way consumer goods do. Think about it: financial products can't sit in a display window or on a showroom floor. Without an effective distribution system, these products won't reach customers where, when, and how they want. That's why distribution is critical.

Insurers make decisions about which distribution options to use based on the customers they are trying to serve. From a customer's perspective, distribution is all about convenience. Although many customers do initial

fact-finding and research on their own, they often want to talk to a knowledgeable financial professional who can assess their needs, explain products in detail, and assist them in the purchase decision. More and more, insurers strive to provide **omnichannel distribution**, which allows customers to choose how they wish to engage with the insurer and enables companies to create personalized interactions with customers and business partners.

Let's explore some common methods insurers use to engage with customers.

Face-to-Face

Financial professionals commonly meet face-to-face with potential customers, often referred to as **prospects**. Financial professionals follow a fairly typical sales process during a series of meetings.

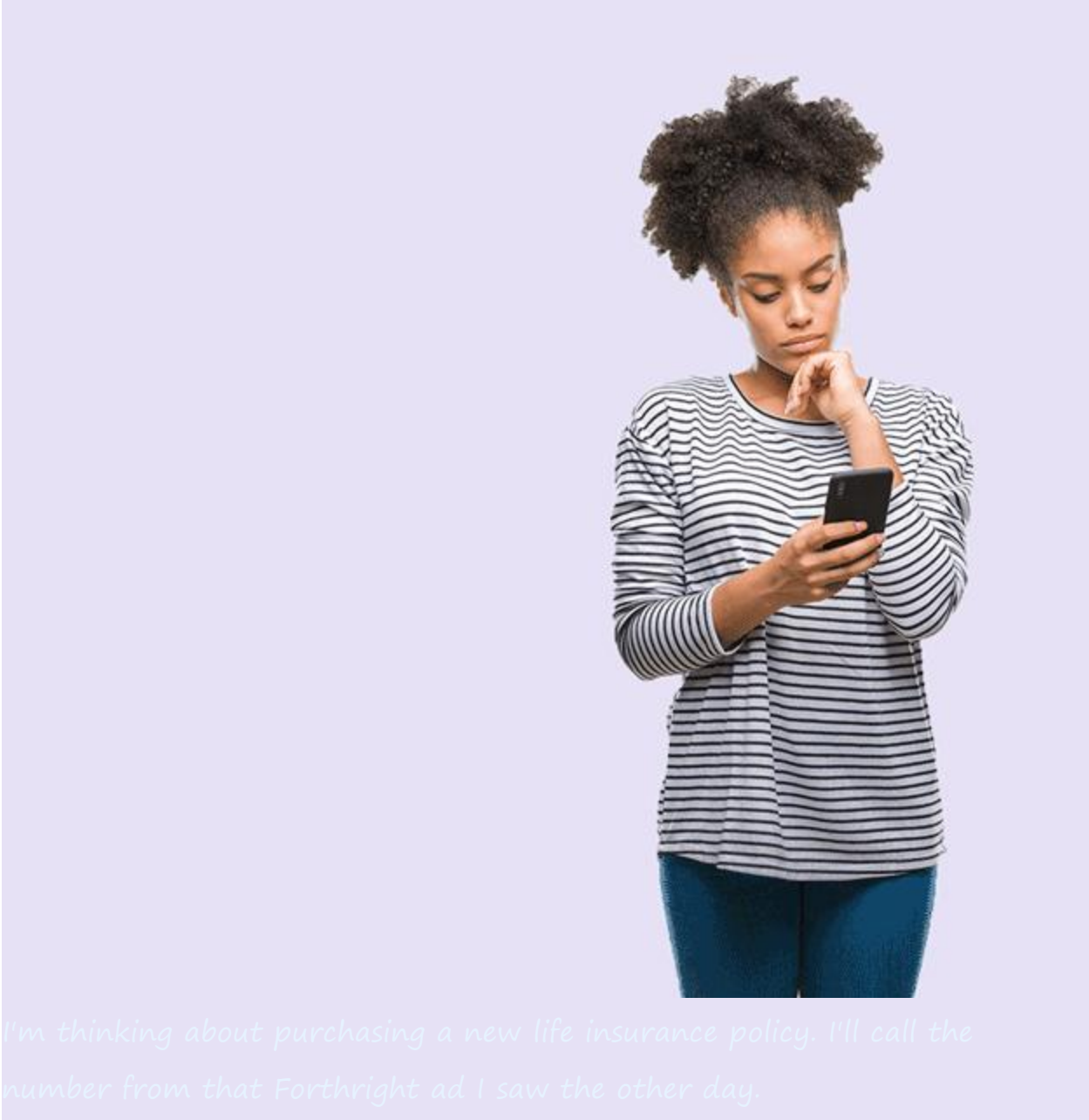
During these face-to-face meetings, the financial professional:

1. Identifies the prospect's financial needs

2. Develops a proposal that recommends one or more insurance products to meet the identified needs
3. Presents the proposal to the prospect in hopes of completing a sale
4. If the sale is successful, assists the customer in applying for the product, submits the application to the insurer, and, in some instances, delivers the policy to the customer

Phone

Insurers and financial professionals can use telephones to share information with customers and prospects. Sometimes, the customer will initiate the contact...



...and sometimes the insurer or financial professional will initiate the contact.

I remember Sheryl saying she wanted to start using a fitness tracker. I should text her—maybe she'll be interested in the new Forthright Flex rider, which comes with a free subscription to a digital wellness app.

Regulatory restrictions in some countries limit the degree to which insurers can make unsolicited sales calls to prospective customers.

Direct Mail or Email

An insurer or financial professional using direct mail or email distributes insurance sales materials through a mail service directly to a list of prospective customers. These mailings can be physical letters, brochures, or flyers mailed to the prospect or emails sent to a distribution list. The target market for direct mail might be readers of a particular publication or holders of a particular credit card.

For paper mail, the sales materials usually consist of an introduction letter, a brochure that describes a particular product, an insurance or annuity application, or an inquiry form the customer can use to request further information about the product. For email, the insurer provides links to similar items on the insurer's website.

Online

Most insurers' websites provide information and self-service options and promote products that can satisfy needs. Insurers also advertise their products through third-party websites and social media. Consumers using these websites may contact the company by telephone, email, or web chat to ask questions or purchase a product. Often, insurers put these consumers in contact with a financial professional.

Financial professionals may also use websites and social media to engage with customers directly.

Print and Broadcast Media

An insurer or financial professional may use printed publications, such as magazines or newspapers, to describe a particular product and generate interest in that product. Insurers can try to reach a particular target market by printing advertisements in newspapers in certain geographical areas or in magazines that appeal to certain demographics. For example, an advertisement for an annuity product designed for people age 62 or older might appear in a magazine for retired people.

An insurer can use radio, television, or video streaming sites to disseminate an advertising message over a wide area to a large, generally undifferentiated audience. However, selecting certain programs or times of the day in which to advertise does allow an insurer some selectivity. For example, a life insurance product might be advertised on television between the hours of 8 and 10 p.m. when newly married couples or young parents are likely watching television.

Worksite Marketing

Financial professionals sometimes engage in **worksite marketing** to distribute **voluntary benefits**. Usually, the employer collaborates with the financial professional to promote voluntary benefits to employees.

Examples of voluntary benefits include

- Life insurance
- Disability insurance
- Accident insurance
- Critical illness insurance
- Long-term care insurance
- ID theft protection
- Legal services
- Financial counseling

Location Selling

Some insurance companies also sell insurance products through a method known as location-selling. These locations can be staffed by a financial professional or offer self-service options for customers.

Location-selling systems may be located in businesses such as department stores, big box stores, grocery stores, and funeral homes.

1. Which of the following enables personalized sales to customers through multiple, integrated communication channels?

- ❑ Omnichannel distribution
- ❑ Worksite marketing
- ❑ Location-selling

Which of the following enables personalized sales to customers through multiple, integrated communication channels?

- ✓ Omnichannel distribution
- ○ Worksite marketing
- ○ Location-selling

That's correct!

Omnichannel distribution is the term generally used for distribution that enables personalized sales to customers through multiple, integrated communication channels.

2. Which of the following are examples of products that can be offered as voluntary benefits? Choose all that apply.

- ❑ Life insurance
- ❑ Disability income insurance
- ❑ Accident insurance
- ❑ Critical illness insurance
- ❑ Long-term care insurance

Which of the following are examples of products that can be offered as voluntary benefits? Choose all that apply.

- [x] Life insurance
- [x] Disability income insurance
- [x] Accident insurance
- [x] Critical illness insurance
- [x] Long-term care insurance

That's correct!

All of the above benefits are examples of voluntary benefits. Some financial professionals engage in worksite marketing to distribute these benefits.

3. True or False?

   The first step in a series of face-to-face meetings with a prospect is for the financial professional to present the proposal in hopes of completing the sale.

   - ❑ True
   - ❑ False

True or False?

The first step in a series of face-to-face meetings with a prospect is for the financial professional to present the proposal in hopes of completing the sale.

- ○ True
- ✓ False

That's correct!

One of the first steps in engaging face-to-face with a prospect is for the financial professional to identify the prospect's financial needs. A competent and ethical financial professional normally would not present a proposal without first understanding the prospect's needs.

Direct Distribution Systems

Learning Objectives

Distinguish between direct distribution systems and intermediary distribution systems.

Describe the characteristics of a direct sales force and direct-to-consumer (D2C) distribution in insurance.

After using one or several engagement methods to learn more about an insurer and its products, a customer purchases a product, either with the assistance of a financial professional, or directly from the insurer without the participation of a financial professional.

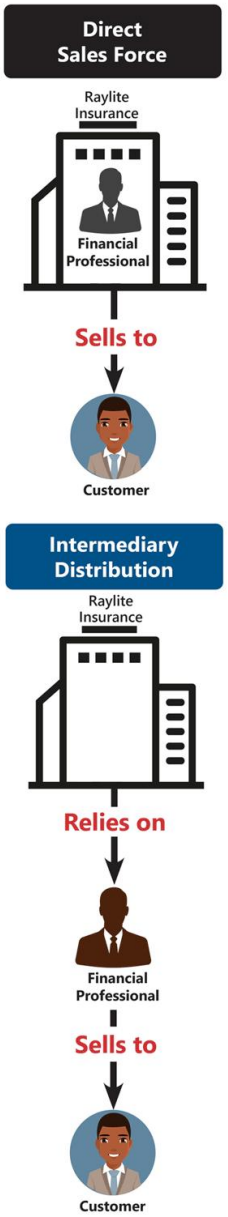
Insurance companies use **distribution systems** to connect products or services with customers who might want or need them. A company's distribution system and all the people who make up that system are crucial to the

financial success of the company. After all, what good is a product if it just sits on the shelf?

The two types of insurance distribution systems are direct and intermediary.

- If the customer purchases directly from the insurer or through a member of the insurer's direct sales force, then the insurer uses a **direct distribution system**.
- If the insurance company relies on other individuals and organizations to sell the product to the customer, then the insurer uses an **intermediary distribution system**.

The figure below illustrates the difference between direct and intermediary distribution systems.



Direct Sales Force

A [direct sales force]() is a form of direct distribution in which an insurance company offers its products through financial professionals directed by the company. Click or touch each heading below to learn more.

Agents

Within the life insurance industry, financial professionals who advise clients and potential clients for individual insurance products are commonly referred to as agents. The agent and the insurer enter into an agency contract.

Two types of agents that may be part of an insurer's direct sales force are

- Career agents
- Multiple-line exclusive agents (MLEAs)

An insurer that maintains a direct sales force exercises considerable control over how agents' work is conducted and contributes significant financial support. Career agents and multiple-line exclusive agents typically have to satisfy minimum sales production and sometimes minimum persistency requirements in order to continue their agency relationship with a particular insurance company.

In certain circumstances, financial professionals in a direct sales force may be allowed to sell another company's products. For example, when an agent's primary company declines to insure an applicant, then the agent might be allowed to place the business with another insurer. The agency contract will specify the circumstances under which an agent may place business with another insurance company.

Salaried Sales Representatives

Some companies use salaried sales representatives to distribute certain types of products.

Most insurers handle their group insurance and group annuity sales through salaried sales representatives, who are typically referred to as **group representatives**. Group representatives are trained to assess and meet the needs of groups and service group products.

Direct-to-Consumer

Consumers expect engaging digital experiences when they interact with companies. In addition, insurers are looking for ways to satisfy customer needs in a cost-effective way, and technology offers possibilities for doing so.

Direct-to-consumer (D2C) sales are non face-to-face distribution programs directed by the insurance company. In a D2C interaction, the insurance company can encourage the purchase of its products through marketing directly to consumers or the consumers can recognize their needs on their own and contact the company directly.

Insurers can use data analytics to identify the characteristics of customers who are most likely to respond to a D2C approach. Data analytics can improve the insurer's **response rate** and potentially reduce its costs for each sale.

Example of D2C

As the example illustrates, D2C contact can take place through several of the engagement methods we discussed earlier, including online, phone, mail, email, and social media. An insurer using D2C distribution needs to make decisions about the types of products to offer through D2C, the consumers to target, and the methods it will use to engage with these consumers. Historically, insurers have offered relatively simple products through D2C.

1. Companies use different types of professionals to sell their products. Can you distinguish among them?

Brian Delange maintains his own office where he sells a variety of products—annuities and life, health, and p/c insurance—for XYZ Insurance Group. Brian is a

- ❑ Career agent
- ❑ Multiple-line exclusive agent
- ❑ Salaried sales representative

Companies use different types of professionals to sell their products. Can you distinguish among them?

Brian Delange maintains his own office where he sells a variety of products—annuities and life, health, and p/c insurance—for XYZ Insurance Group. Brian is a

- ○ Career agent
- ✓ Multiple-line exclusive agent
- ○ Salaried sales representative

That's correct!

Brian is most likely a multiple-line exclusive agent, which is an agent who sells life insurance, health insurance, annuities, and property-casualty products for one insurance company, with the majority of sales being property-casualty products.

2. *Lucy Champion has a contract with ABC Life and sells primarily that company's life, health, and annuity products to individual clients. Lucy is a*
   - ❑ *Career agent*
   - ❑ *Multiple-line exclusive agent*
   - ❑ *Salaried sales representative*

Lucy Champion has a contract with ABC Life and sells primarily that company's life, health, and annuity products to individual clients. Lucy is a

- ✓ Career agent
- ✗ Multiple-line exclusive agent
- ○ Salaried sales representative

That's correct!

Lucy is most likely a career agent, which is an agent who is under a full-time contract with an insurer to sell primarily that insurance company's life, health, and annuity products. Also known as a captive agent.

3. ***Natasha Platkin is paid a salary to service group products. Natasha is a***
   - ❑ *Career agent*
   - ❑ *Multiple-line exclusive agent*
   - ❑ *Salaried sales representative*

Natasha Platkin is paid a salary to service group products. Natasha is a

- ○ Career agent
- ○ Multiple-line exclusive agent
- ✓ Salaried sales representative

That's correct!

Natasha is most likely a salaried sales representative, which is a company employee who is paid a salary for making insurance sales and providing sales support.

4. ***D2C distribution can occur through which of the following engagement methods? Choose all that apply.***

- ❑ Face-to-face
- ❑ Online
- ❑ Phone
- ❑ Mail
- ❑ Email
- ❑ Social media

D2C distribution can occur through which of the following engagement methods? Choose all that apply.

- [ ] Face-to-face
- [x] Online
- [x] Phone
- [x] Mail
- [x] Email
- [x] Social media

That's correct!

D2C is by definition not face-to-face, but can occur by all the other engagement methods listed.

Direct Sales Force Support

Learning Objectives

Explain how insurers provide sales support such as recruiting, licensing, compensation, and training to different types of agents.

List three prohibited sales practices, and describe the activities that insurers undertake to monitor the market conduct of their agents.

As you learned, a direct sales force is one channel for direct distribution. A key factor in choosing a distribution channel is how much support the channel will need, and it takes a lot of effort to support a direct sales force. Insurance companies often have **agency operations units** dedicated to direct sales force support. These are put in place to ensure that

- Strategic goals and objectives for the company's agency operations are consistent with the insurer's overall goals and objectives
- Policies and procedures for agency operations are in compliance with all regulatory requirements
- Performance standards are in place to measure agency operations
- Home office services, including customer service, are in place to adequately support agency operations

Home office support for an insurer's direct sales channel can be divided into six primary categories. Let's start with Recruiting.

Recruiting

Insurers spend a lot of money to recruit and train new career agents. They need to make sure they spend that money on the right people, and that the right people stay. Let's look at an example.

What types of tools are there?

Once Joe completed the screening phase, he became eligible for pre-contract training. During pre-contract training, Joe learned

- The principles of life insurance and annuities
- The products and practices of the hiring company
- How to meet customer needs with various products

Joe performed well during pre-contract training, so he was offered a formal contract with Forthright.

Licensing

Joe became licensed by each jurisdiction in which he will sell insurance and for each line of insurance—for example, life, health, P&C—he planned to sell. As is required in the United States, the home office makes sure that he sells policies only in states where he is licensed.

To obtain a license in the United States, Joe was required to

1. Pay a licensing fee
2. Pass a written examination in each line of insurance he planned to sell
3. Provide assurance that he is of reputable character

Other countries have requirements that are similar to those in the United States.

Appointment

Forthright appointed Joe to be its agent by notifying the appropriate insurance regulators that it authorized him to sell for it.

Joe isn't alone, though. Anyone who sells policies on behalf of Forthright—even bank employees—must be licensed and appointed. Licensing specialists in an insurer's home office oversee agent licensing to ensure that all agents are qualified to sell the company's products and are appropriately licensed and appointed for the jurisdictions in which they are to offer products.

It's really important that home office employees in charge of handling contracting, licensing, and appointments work effectively and efficiently. If they don't, salespeople can't sell. And woe to any employee who lets a sale go through if it's in a state where the agent isn't licensed—fines, potential lawsuits, headaches all around.

Training

Because he is an affiliated agent, Forthright wants to ensure Joe is well trained. The level of training provided to agents varies depending upon the agent's experience and relationship with the insurance company. However, insurers are required by law to ensure that all of their agents are trained in market conduct laws and acceptable sales practices.

1. New agents like Joe typically go through an initial period of sales, product, and on-the-job training
2. Experienced agents receive mostly product training because they do not need training in needs analysis and general sales techniques

Insurers conduct agent training in formal classes at the home office, regional sales offices, or the agency office, or through virtual training featuring online classrooms or self-study courses.

Other Sales Support

Forthright provides various other types of sales support to agents like Joe, for example

- Office space and materials in a field office
- Business development support to identify qualified sales leads for the agent
- Marketing support to promote the general quality of their agents
- Sales aids such as introductory sales kits and sample sales presentations
- Enhanced service support for highly valued agents, such as
  - o Exclusive telephone lines for sales and operations support
  - o Extended hours of telephone support
  - o Dedicated personnel in areas such as underwriting, customer service, and claims

- ID theft protection
- Advanced underwriting to help with proposals or accompany the agent to sales presentations, especially when the agent intends to use insurance products in a financial plan or in estate planning
- Technology support to promote operational efficiencies

Compensation

Joe doesn't work for free, of course. Forthright motivates him to make quality sales and to keep the policies in force by paying two types of commissions: first-year and renewal.

Generally speaking, first-year commission rates for life insurance policies range from 40 to 90 percent of the policy's first-year premium. First-year commissions are designed to generate sales.

Renewal commission rates are lower than the first-year commission rate—usually 2 to 5 percent of premiums received—and they are paid only on

policies that remain in force. Renewal commissions are designed to encourage agents to sell quality business that will remain in force.

Sometimes insurers pay a **service fee**, which is a small percentage of premiums, often 1 or 2 percent, that is payable after renewal commissions have ceased. Service fees are typically paid to the agent who is currently providing service to the customer, even if that agent did not originally sell the policy.

Annuity commission schedules often combine a one-time commission on each contribution the owner makes to the annuity with a **trail commission** that is paid at regular intervals and is calculated as a percentage of the accumulated contract value.

Commission rates for financial professionals who are not part of a direct field force are typically higher than the commission rates for direct field force agents. Direct field force agents receive lower commissions because they typically receive some financial benefits that are not provided to the other types of agents.

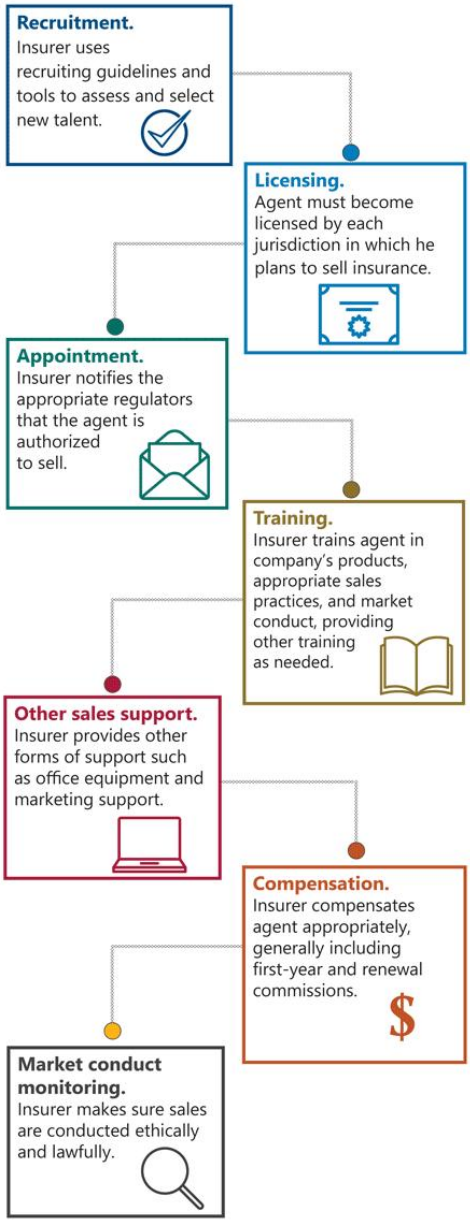
Market Conduct

Insurers must regularly monitor the sales activities of all of their agents to ensure compliance with market conduct laws. And whenever regulatory requirements change, insurers are required to communicate the changes to agents accurately and promptly.

An insurer's monitoring system should include a method for identifying and reporting agents who are found to be unsuitable to sell insurance products. Some infractions are unintentional and merely indicate a need for additional training. However, serious infractions, or a pattern of minor infractions, require disciplinary action, up to and including a termination of the agency contract.

Regulators may suspend or revoke the license of an agent who engages in conduct that violates the laws in that jurisdiction. Unlawful sales practices include churning, twisting, and rebating.

The figure below illustrates how a company supports an agent to prepare him for sales.



True or False?

1. **Renewal commission rates are higher than the first-year commission rate.**
   - ❑ True
   - ❑ False
2. **Oliver had his contract terminated for repeatedly engaging in the prohibited sales practice known as churning. What did Oliver do?**
   - ❑ Induced clients to replace one policy after another, multiple times, so that he could earn a series of first-year commissions on the replacements.
   - ❑ Misrepresented the features of a policy to induce the customer to replace an existing policy.
   - ❑ Offered an unlawful cash payment to encourage a prospect to purchase a policy.

Intermediary Distribution Systems

Learning Objective

Discuss the different intermediaries through which some insurers distribute their products.

In an intermediary distribution system, the insurance company relies on intermediaries to communicate with and offer products and services to its customers. These intermediaries include independent agents, broker-dealers, RIAs, banks, other insurance companies, and employee benefits brokers. Insurance companies often employ internal wholesalers or contract with

external wholesalers, who promote the insurer's products and provide support to intermediaries.

Independent Agents

Insurance agents whose activities are not dictated by a single insurance company are known as **independent agents**. Some independent agents—called **personal-producing general agents (PPGAs)**—enter into agency contracts with one or more insurers. Others serve as **brokers** by representing their own customers.

Similarities between PPGAs and brokers:

- Sell more than one insurer's products
- Typically are experienced financial professionals
- Are largely responsible for their own office space and other expenses

- Require little training other than on specific products

Differences between PPGAs and brokers:

- Insurers who use brokers often try to get as many of them as they can in an area, pay them a straight commission, provide few services, and often receive relatively little business from each broker

- Insurers who use PPGAs are more selective, compensate the agents more generously, provide some degree of support services, and usually get substantial amounts of business from each PPGA

Sometimes, an independent agent does not do business directly with the insurance company. Instead, the financial professional submits business to the insurance company through an additional intermediary layer known as an **independent distribution network**. Other terms used for an independent

distribution network include *independent marketing organization (IMO)* and *brokerage general agent (BGA)*. Although there may have been clear distinctions between an IMO and a BGA in the past, today the distinctions between the two types of organizations have blurred, and organizations using both names perform similar functions.

IMOs and BGAs provide services to independent agents that depend on the needs and experience of the financial professionals, and can include

- Agent recruiting and appointment
- Education and training
- Point-of-sale support
- Business development support, such as help with lead generation
- Agency management support
- Assistance with case submission
- Specialty underwriting expertise

Here's how an independent distribution network (or IMO or BGA) helps an application get from the point of sale to new business.

Broker-Dealers

Not to be confused with an insurance broker, a **broker-dealer** is a financial institution that buys and sells securities either for itself or for its customers. Common securities are stocks, bonds, and mutual funds. In the United States, securities can be distributed only through a broker-dealer that is registered with the federal **Securities and Exchange Commission (SEC)** and is a member of the **Financial Industry Regulatory Authority (FINRA)**.

In the United States, variable life insurance and variable annuity products are considered securities as well as insurance products. To distribute them, many insurers establish a subsidiary that is registered as a broker-dealer (known as an **insurance broker-dealer**).

Alternatively, an insurer can market the products through an unaffiliated broker-dealer. Broker-dealers range from small companies to huge, nationally known institutions.

Individuals who work for a broker-dealer selling securities and are appropriately registered with FINRA are known as **registered representatives**, or *registered reps*. An insurer's wholesalers provide education and support materials to registered reps regarding the insurer's products and promote the advantages of the insurer's products compared to other insurers' products.

Registered Investment Advisers

Registered investment advisers (RIAs) provide advice on investing in securities. Larger investment adviser firms—those that manage more than $100 million in client assets—register with the SEC, while smaller investment adviser firms register with state securities authorities.

Many RIAs charge their clients an annual fee based on the value of all the investments the adviser manages on the client's behalf (known as *assets*

under management, or AUM). Therefore, insurers have created products that provide for the adviser to be paid a fee that is a percentage of the account value, rather than to be compensated by commission. Some broker-dealers also switched in recent years from commissions to fee-based compensation.

Banks and Other Depository Institutions

In the United States, banks and other depository institutions generally cannot issue insurance, but they can distribute insurers' products. When banks offer insurance, a licensed insurance company must underwrite and accept the risk associated with the insurance products the bank sells. Also, banks are not permitted to make the purchase of an insurance product a condition for a customer's obtaining a loan from the bank.

Banks typically use two types of financial professionals to distribute insurance and annuity products:

- **Platform employees**, who usually sell simple life insurance products such as term life and refer customers with complex financial needs to financial consultants
- **Financial consultants**, who are licensed to sell securities as well as life insurance and annuities

The amount and type of sales support that an insurance company provides for the bank distribution channel varies and is often provided to banks by wholesalers. Insurance companies typically pay commissions to banks. Banks then decide how to compensate their employees for the sales.

Only bank employees who are licensed insurance agents may receive commissions for the sale of insurance. However, unlicensed bank employees who refer customers to licensed bank employees sometimes receive a nominal referral fee.

Other Insurance Companies

An insurance company can act as an intermediary distribution channel for another insurer by selling **nonproprietary products**. By selling nonproprietary products, an insurer can provide its customers with a full range of financial products. Insurers often distribute nonproprietary products because they are able to

- Offer a new product without spending the money or time necessary to develop the product
- Enter a new market quickly
- Decrease the risks involved with introducing a new product by experimenting with selling that product or product line before fully committing to it
- Better satisfy customers by offering a more complete product mix

The insurer that developed the product gains access to the distributing insurer's financial professionals and their clients.

Employee Benefits Brokers

As we've discussed, many employers choose to make additional insurance options available to their employees as voluntary benefits, which are paid for entirely by the employee. Insurers generally distribute voluntary benefit products through commission-based financial professionals. Sometimes the financial professional is part of the insurer's direct sales force, but more often the financial professional is an **employee benefits broker**. Use the right arrows below to learn more.

How does an employee benefits broker make a sale?

Identify the type of distributor described in each question below.

1. Sam is an independent insurance agent who represents his clients, not an insurer or other financial institution. Sam does not have an exclusive contract with any single insurer or specific obligations to sell a single insurer's products. Sam generally receives compensation in the form of commissions. Sam is a
   - ❑ PPGA

- ❑ Registered investment advisor (RIA)
- ❑ Platform employee
- ❑ Broker

Sam is an independent insurance agent who represents his clients, not an insurer or other financial institution. Sam does not have an exclusive contract with any single insurer or specific obligations to sell a single insurer's products. Sam generally receives compensation in the form of commissions. Sam is a

- ⊗ PPGA
- ⊗ Registered investment advisor (RIA)
- ⊗ Platform employee
- ○ Broker

That's correct!

The description best describes an insurance broker.

A PPGA does not legally represent his clients. An RIA generally does not receive commissions. A bank platform employee is not generally an insurance agent.

2. Malia helps her employer clients design, implement, and administer benefit programs. Malia is a
   - ❑ PPGA
   - ❑ Wholesaler
   - ❑ Employee benefits broker
   - ❑ Registered representative

Malia helps her employer clients design, implement, and administer benefit programs. Malia is a

- ○ PPGA
- ○ Wholesaler
- ✓ Employee benefits broker
- ○ Registered representative

That's correct!

An employee benefits broker helps her employer clients assess the benefit needs of their workforce and design, implement, and administer benefit programs to meet those needs.

3. Dash works for a broker-dealer and sells securities. Dash is a
   - ❑ Registered representative
   - ❑ Financial consultant
   - ❑ Wholesaler
   - ❑ Broker

Dash works for a broker-dealer and sells securities. Dash is a

- ✓ Registered representative
- ○ Financial consultant
- ✗ Wholesaler
- ○ Broker

That's correct!

An individual who is employed by a broker-dealer to sell securities and is appropriately registered with FINRA is known as a registered representative (registered rep).

4. Landon promotes Forthright's products to intermediaries and provides them with marketing support. Landon is a
   - ❑ Employee benefits broker
   - ❑ Independent agent
   - ❑ Platform employee
   - ❑ Wholesaler

Landon promotes Forthright's products to intermediaries and provides them with marketing support. Landon is a

- ⊗ Employee benefits broker
- ⊗ Independent agent
- ⊗ Platform employee
- ○ Wholesaler

That's correct!

A person who promotes an insurer's products to intermediaries and provides the intermediaries with marketing support is known as a wholesaler.

Distribution Decisions

Learning Objective

Identify and describe the factors an insurer considers when making decisions about which distribution systems to use.

With all these distribution options, how does any company decide which systems and channels will best meet its customers' needs? We have to carefully weigh the strengths and weaknesses of each based on our resources and goals.

Here, an expert provides some insight about choosing a distribution channel.

What factors do you think insurers consider when deciding which channels to use? Choose all that apply.

Customer Characteristics

The distribution system through which a product is sold should meet the needs of the customers in the insurer's target market.

Examples:

- If an insurer has identified as a target market older, wealthier individuals who expect personalized service, then a distribution system that can provide personalized service is probably best.
- Customers who prefer to compare products and prices over the internet at their own convenience might prefer to purchase online.

Rarely can an insurer satisfy the needs of all of its customers with a single distribution system or channel. More often, insurers provide multiple options to connect with their chosen target markets most effectively.

Costs

Some insurance distribution systems are more expensive than others.

Examples:

- A direct sales distribution system using a career agent channel is the most expensive to establish and maintain because insurers usually pay compensation for sales, employee benefits, field office expenses, recruiting, training, and licensing.
- Although staffing and training costs are typically much lower for D2C distribution channels than for other distribution channels, they often require a substantial up-front investment in the form of technology, staff training, and the development of sales materials.
- Intermediary distribution systems can reduce the costs associated with training and staffing.

Control

The amount of control an insurer needs to have over its distributors affects the distribution system the insurer chooses.

An insurer that wishes to exercise a great deal of control over distribution activities typically develops a direct distribution system, consisting either of a direct sales force or D2C distribution, or potentially both. With a direct distribution system, the insurer can control the customer journey and

collect customer data in a way that supports its customer experience strategy.

Insurers have less control over intermediary distribution channels. However, insurers may be able to include some controls in these distributors' contracts. Insurers can also run promotions from time to time that reward distributors if they perform well in a given region, product line, or market situation.

Expertise

Insurers want their distributors to have a high degree of sales experience and to be knowledgeable about the insurer and the insurer's products. Not only will these people be able to identify the customer's primary need and meet it with an appropriate product, but they can also engage in identifying an existing customer's needs for additional products.

Examples:

- Insurance brokers have a high degree of sales experience and general knowledge about insurance products, and they recognize the importance of additional sales to increase their earnings.
- Career agents and multiple-line exclusive agents are more familiar with their primary insurer's product portfolio than are brokers who sell the products of many insurance companies.

Product Characteristics

Some products are more effectively and efficiently sold through one distribution system than another.

Examples:

- A complex product such as universal life insurance typically requires a face-to-face engagement method.
- Simpler products, such as term life insurance, can be distributed through a D2C distribution system.
- Some products, such as variable life insurance or variable annuities, must be sold by a person who is a registered representative of a licensed broker-dealer.

External Marketing Environment

Conditions in the external marketing environment can make one distribution option more appealing than others. Changes in the economy, technology, laws, and competitive pressures can all impact which distribution method an insurer uses or how an insurer will use a particular method.

Examples:

- Customer expectations for convenience have led some insurers to offer the option to purchase life insurance through an entirely online transaction.
- To meet customers where they are, some financial professionals connect with prospects through social media.
- Insurers wishing to sell products internationally must consider which distribution systems are available in each market (e.g. brokers are widely used in the U.S. and Canada, but don't exist in many other countries).

True or False?

1. Raylite Life Insurance prioritizes having a high degree of control over its distributors. Raylite should choose a direct distribution system.
   - ❑ True
   - ❑ False

Raylite Life Insurance prioritizes having a high degree of control over its distributors. Raylite should choose a direct distribution system.

✓ True

✗ False

That's correct!

With a direct distribution system, Raylite can control the customer journey and collect customer data in a way that supports its customer experience strategy.

2. The Argon Insurance Company's biggest concern is spending too much on its distribution system. Argon should consider a direct sales distribution system using career agents.
   - ❑ True
   - ❑ False

The Argon Insurance Company's biggest concern is spending too much on its distribution system. Argon should consider a direct sales distribution system using career agents.

- ○ True
- ✓ False

That's correct!

A direct sales distribution system using career agents is the most expensive method of distribution. Argon should consider a more cost-effective approach.

3. *Complex products are typically distributed through D2C distribution methods.*
   - ❑ *True*
   - ❑ *False*

Complex products are typically distributed through D2C distribution methods.

- ○ True
- ✓ False

That's correct!

Complex products typically require face-to-face interactions. Simpler products can often be distributed through other methods, such as D2C.

4. ***For the next three questions, determine the most appropriate channel based on the information given.***

Insurer A

- **Product:** New, complex life insurance product.
- **Target market:** Older, wealthier individuals who like one-on-one sales.
- **Channel control:** The company wants a high degree of control to combat questionable sales tactics aimed at the elderly.
- **Channel cost:** The company is willing to spend a lot.

The most appropriate channel is

- ❑ **D2C**
- ❑ **Career agent**
- ❑ **Insurance broker**

The most appropriate channel is

- ○ D2C
- ✓ Career agent
- ○ Insurance broker

That's correct!

Career agents can provide the one-on-one sales experience that this type of customer wants—and needs—for a complex product. Plus, the company is willing to bear the cost in exchange for control. An insurance broker is not likely to have a high degree of familiarity with the company's products and offers the company less control over the distribution process. D2C doesn't offer personal contact and isn't ideal for complex products.

Insurer B

- **Product:** Complex cash value life product.
- **Target market:** Young people with advanced degrees.
- **Channel cost:** High cost is acceptable.
- The insurer has an affiliated property/casualty company.

The most appropriate channel is

- ❑ Multiple-line exclusive agent
- ❑ Insurance broker
- ❑ D2C

The most appropriate channel is

- ✓ Multiple-line exclusive agent
- ✗ Insurance broker
- ○ D2C

That's correct!

Multiple-line exclusive agents make sense in this situation because they have licenses to sell many product types and will have opportunities to sell other products to these clients as they age, thus increasing the value of clients to the insurer and to the agent.

Insurer C

- **Product:** A straightforward, term life product with up to $300,000 of coverage.
- **Target market:** Newly graduated members of Gen Z who are single with no children.
- **Channel cost:** Low cost is ideal.

The most appropriate channel is

- ❑ Career agent
- ❑ Insurance broker
- ❑ D2C

The most appropriate channel is

- ○ Career agent
- ⊗ Insurance broker
- ✓ D2C

That's correct!

D2C is most appropriate for this target market, whose members are less likely to be interested in scheduling appointments for life insurance when they have limited family to insure. In addition, the product in question is straightforward. Career agents are better for complex products, and are not low cost as Insurer C prefers. Broker-dealers are generally not appropriate for this market or product line.

Distribution Challenges

Learning Objective

Identify types of distribution problems and solutions.

To end this lesson, we'll go over some challenges insurers face when it comes to distribution. Specifically, we'll discuss these four challenges:

1. Channel conflict
2. Agent turnover
3. Prohibited sales practices
4. Persistency

Channel Conflict

Sometimes, adding a new distribution channel can cause conflict between an insurer's different distribution channels or between an insurer and members of its distribution channels.

Channel conflict most often occurs when:

- Channels or channel members do not share the same purpose, and their goals and objectives are not mutually beneficial;
- The specific roles and performance expectations of each channel or channel member are not clearly stated, understood, or mutually accepted;
- One distribution channel cannibalizes another.

Channel cannibalism occurs when a new channel steals customers from an existing channel instead of bringing in new customers.

Let's hear what an expert says about avoiding channel conflict.

Agent Turnover

As we've seen, an insurer can spend an enormous amount of money on recruiting, training, and supporting just one agent. This kind of investment can't be taken lightly.

Assuming the agent is performing well, the insurer doesn't want him or her to leave prematurely.

Prohibited Sales Practices

In the United States, insurers must abide by the market conduct laws described earlier in the lesson, which govern how insurers and financial professionals behave. Market conduct laws prohibit certain sales practices that can harm customers.

- When a financial professional promises a benefit to a prospect to purchase a policy or annuity when that benefit isn't in the product itself and isn't offered to all others, he is engaging in rebating.
- If a financial professional misrepresents the features of a policy to persuade a customer to replace his current policy, the financial professional is engaging in twisting.
- A financial professional that convinces a customer to replace policies or annuities over and over so the financial professional can earn many high commissions is engaging in churning.

To guard against violations of these laws, insurers develop compliance programs that teach, train, and monitor employees and financial professionals regarding all market conduct laws and procedures.

Low Persistency

For life insurance, persistency occurs when a policy remains in force as a result of the continued payment of the policy's renewal premiums.

If policyowners are unable or unwilling to make these payments, the insurer has a problem—or perhaps more than one problem.

What do you think?

Example: Forthright Addresses Distribution Problems

At Forthright, we have recently suffered from each of the distribution problems we've discussed on this page. Here's what we've done about each (click or touch each heading).

Problem: Channel Conflict

Solution—Forthright is paying careful attention to how it designs its products, organizes its operations, and plans its marketing. So they can address conflicts early, Forthright staff now identify all potential channels at the beginning of the product development process.

Problem: Agent Turnover

Solution—Forthright is now auditing compliance with its recruiting and contracting guidelines and agent profile. Forthright also offers new opportunities for professional development, networking, and recognition to increase morale and encourage agents to remain with the company. This should help increase the agent retention rate.

Problem: Low Persistency

Solution—Forthright is working to increase employee morale and improve training, which can encourage agents to provide better service to existing policyholders.

Problem: Prohibited Sales Practices

Solution—Forthright is taking a number of actions to be sure financial professionals obey market conduct laws.

What do you think?

What do you think would be appropriate actions to improve market compliance? Choose all that apply.

- ❑ Develop and communicate clear, specific compliance standards and consequences of non-compliance
- ❑ Enhance compliance training
- ❑ Require financial professionals to sign a contract agreeing to reimburse the company for any damages it incurs because of their actions
- ❑ Conduct field audits to review financial professionals' case files
- ❑ Go on joint calls with financial professionals to verify a compliant sales approach
- ❑ Examine complaint files to identify patterns that suggest market conduct problems

What do you think would be appropriate actions to improve market compliance? Choose all that apply.

- [x] Develop and communicate clear, specific compliance standards and consequences of non-compliance
- [x] Enhance compliance training
- [ ] Require financial professionals to sign a contract agreeing to reimburse the company for any damages it incurs because of their actions
- [x] Conduct field audits to review financial professionals' case files
- [x] Go on joint calls with financial professionals to verify a compliant sales approach
- [x] Examine complaint files to identify patterns that suggest market conduct problems

That's correct!

All of these would be appropriate actions to improve market conduct compliance except requiring financial professionals to reimburse the company for damages caused by their actions.

I hope you can see that solving these problems will help Forthright run a more efficient ship. The company hopes that any money spent on financial professionals will be recovered through sales of policies that remain in force. Customers will be pleased, and so will regulators.

True or False?

1. Channel cannibalism occurs when a new channel brings in new customers.
   - ❑ True
   - ❑ False

Channel cannibalism occurs when a new channel brings in new customers.

- ⊗ True
- ✓ False

That's correct!

Channel cannibalism occurs when a new channel steals customers from an existing channel *instead of* bringing in new customers.

2. A decrease in persistency is what happens when
   - ❑ **Agents leave a company prematurely**
   - ❑ **Agents engage in churning, twisting, or rebating**
   - ❑ **Policyowners stop paying premiums and policies lapse**

A decrease in persistency is what happens when

- ⊗ agents leave a company prematurely
- ⊗ agents engage in churning, twisting, or rebating
- ○ policyowners stop paying premiums and policies lapse

That's correct!

Although the first two options can lead to dissatisfied customers, a decrease in persistency is what happens when policyowners discontinue payment of a policy's renewal premiums and let their policies lapse.

Additional Activities

If you want to relate the information in this chapter to your company, try these activities:

- Identify all of the distribution channels your company uses. Based on this information, does your company primarily use a direct distribution system or an intermediary distribution system?
- If your company uses a direct sales force, look on your company's org chart and determine how the home office and field office operations connect. Often, the head of agency operations reports to marketing. Is this true for your company? If not, how are these areas connected?
- Insurers often use online newsletters that provide readers with helpful advice or information as part of their direct-to-consumer (D2C) distribution system. If your company distributes such a newsletter, read through it. Identify ways in which insurance products are promoted in the newsletter and offered for sale to customers.